INSERT THE OFFICIAL CFA INSTITUTE RESEARCH CHALLENGE COVER PAGE HERE

The official cover carries the required disclosures. It is downloaded from the Research Challenge student page, goes in front unaltered except its highlighted fields, and does not count towards the 10-page limit.

Grupo Bimbo, S.A.B. de C.V. (BMV: BIMBO A)

Equity research report, draft v1 for team review, 19 October 2026
Rating: HOLD (provisional). Target price: to be set by the team.

Executive Summary

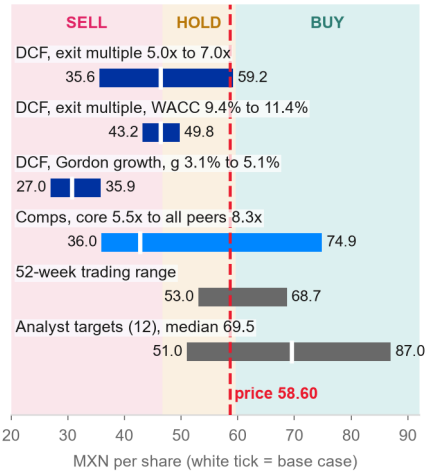
HOLD (provisional); the team will set the target price. At MXN 58.60 (16 October 2026) Grupo Bimbo trades at 6.9x last-twelve-month EV/EBITDA, a premium to the core bakers (5.5x) and a discount to all eligible peers (8.3x) (S&P Capital IQ, 2026; team model). Our DCF values the shares at MXN 46.42 today and MXN 51.42 in twelve months, an expected return of −10.5% including the MXN 1.05 dividend (team model). That is the edge of our SELL band (−10% or lower). The price already requires a 6.95x exit multiple on FY2030E EBITDA, which is where the stock trades today (team model). The rating therefore rests on one judgement: whether Bimbo keeps a premium to the core bakers. A clean HOLD (expected return between −5% and +10%) needs an exit multiple between 6.16x and 6.82x. We have not set that multiple; it is the team's decision (Figure 1).

Three theses, validated by the team, frame the debate (see Investment Summary). First, North America's margin problem is being corrected: closing the gap to Flowers Foods is worth +MXN 4.22 per share. Second, 2027 margins are at risk from wheat: losing 50 bp for good costs MXN 3.55. Third, organic growth falls short of the model: a 1-point miss in North America and 2 points in Mexico costs MXN 3.29. All three together move the value by −MXN 2.65 (team model).

The catalysts are 3Q26 results in late October, FY2026 results and 2027 guidance in February 2027, wheat entering the 2027 hedge book and the shareholders' meeting by end-April 2027 (Grupo Bimbo, 2026a, p. 62). The main risk is the multiple: each 0.5x on the exit multiple is worth MXN 5.90 per share (team model).

Key data	
Price (16-Oct-2026)	**MXN 58.60**
52-week range	**53.03 - 68.67**
Shares outstanding	**4,294.9m**
Market cap	**MXN 251.7bn**
Net debt incl. leases (Jun-26)	**MXN 170.5bn**
Enterprise value (peer basis)	**MXN 422.9bn**
EV / EBITDA, LTM	**6.94x**
LTM Adj. EBITDA (Jun-26)	**MXN 60.9bn**
Dividend / yield	**MXN 1.075 / 1.8%**
Free float / control group	**27.6% / 72.0%**
Consensus (12 analysts)	**Hold (2.58)**
Mean / median target	**70.17 / 69.50**

Figure 1: Value per share by method vs. price



Source: Team model; S&P Capital IQ (2026).

Business Overview

Grupo Bimbo, S.A.B. de C.V. is the world's largest baking company by sales, with 3.7% of the global bakery market, 1.2x the next competitor (Grupo Bimbo, 2026a, pp. 107-109). It runs 249 plants and more than 54,000 delivery routes in 39 countries and sells more than 9,000 products under over 100 brands (Grupo Bimbo, 2026a, pp. 14, 100). FY2025 net sales were MXN 426,952 million (+4.6%) and Adjusted EBITDA was MXN 59,456 million, a 13.9% margin (Grupo Bimbo, 2026f, p. 85; team model).

Business Model

Bimbo bakes fresh bread, sweet baked goods, cookies, tortillas and salty snacks and delivers them to stores on its own routes. Fresh product lasts about 14 days, so the delivery network, not the recipe, is the barrier to entry (Grupo Bimbo, 2026a, pp. 100, 110). The network is densest in Mexico, where Bimbo operates all routes directly. It leads packaged bread (18.2% share) and sweet baked goods (28.2%) and is second in salty snacks (18.4%) (Grupo Bimbo, 2026a, pp. 111, 113). Customers are modern retail, traditional stores, convenience chains and quick-service restaurants. Walmart is about 15% of sales and no other customer exceeds 10% (Grupo Bimbo, 2026a, p. 103). New products supplied 12.6% of FY2025 sales (Grupo Bimbo, 2026a, p. 87).

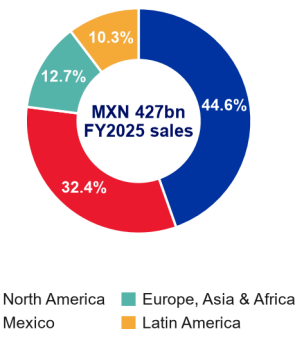
Key Operating Segments

Bimbo reports four regions (Grupo Bimbo, 2026f, p. 85). Shares are of FY2025 net sales and Adjusted EBITDA (Figure 2, Figure 3).

- **North America** (44.6% of sales, 28.8% of EBITDA, 9.0% margin): Bimbo Bakeries USA (54 bakeries, about 27% of US fresh bread, buns and rolls), Barcel USA, Bimbo QSR and Bimbo Canada (17 bakeries, 13.3% share) (Grupo Bimbo, 2026a, pp. 82-84; Flowers Foods, 2026).
- **Mexico** (32.4% of sales, 55.4% of EBITDA, 20.4% margin): the Bimbo and Barcel brands (including Takis) and 38 plants (Grupo Bimbo, 2026a, pp. 84-85; 2026e, p. 17).
- **Europe, Asia and Africa** (12.7%, 9.8%, 10.8%): Iberia, the United Kingdom, Romania, China, India and Africa, plus bread for quick-service restaurants in about 40 countries; 92 plants after the 2025 acquisitions (Grupo Bimbo, 2026a, pp. 85-87).
- **Latin America** (10.3%, 6.0%, 8.1%): 15 countries and 42 plants; Wickbold (Brazil) joined in October 2025 and its integration costs weigh on margin (Grupo Bimbo, 2026a, p. 85; 2026d, p. 5).

Mexico earns 55% of EBITDA on 32% of sales; North America, the largest region, earns 29%. The mix is shifting: North America was 52% of sales in FY2021 and 42.6% over the last twelve months to June 2026, partly through acquisitions and peso translation (Grupo Bimbo, 2026d, p. 3; team model).

Figure 2: FY2025 net sales by region



Source: Grupo Bimbo (2026b, p. 4).

Strategy, Capital and Ownership

Management is rebuilding North America's profitability. It closed 11 bakeries worldwide in 2024 and reports "record productivity benefits" since 3Q25 (Grupo Bimbo, 2026a, pp. 76-77; 2026d, p. 5). Capex fell from MXN 34,754 million in FY2023 to MXN 22,530 million in FY2025, and 2026 guidance was lowered to US$1.0-1.2 billion (Grupo Bimbo, 2026f, p. 86; 2Q26 earnings call). Leverage is 2.5x net debt/EBITDA on the company's definition and the ratings are BBB+ (S&P), BBB+ (Fitch) and Baa1 (Moody's) (Grupo Bimbo, 2026a, p. 82; 2026d, p. 2).

Six holding vehicles control 72.03% of the shares, led by Normaciel with 40.96%; the free float is 27.6% (Grupo Bimbo, 2026a, pp. 181-182; LSEG, 2026). The board has 18 directors, 7 of them independent. Daniel Servitje Montull is Executive Chairman and Alejandro Rodriguez Bas has been Group CEO since November 2025 (Grupo Bimbo, 2026b, p. 2).

Industry Overview

Market Structure and Growth

Bimbo competes in branded, packaged bakery delivered direct to store, country by country. That is narrower than the global bakery market, where artisanal bakeries hold 44.3% and private label 9.6% (Grupo Bimbo, 2026a, p. 107). Global bakery retail value was US$638.9 billion in 2024 and grew at a 2.8% CAGR in 2019-24. Global Data expects a 4.7% CAGR in 2024-29E, with 4.3% in North America (US$139.1 billion), 5.5% in Latin America (US$121.8 billion) and 3.5% in Mexico (Figure 4) (Grupo Bimbo, 2026a, pp. 107-111). Weighting the regional CAGRs by Bimbo's sales mix gives about 4.2% a year in value (team model). That growth is price and mix, not volume. In developed markets volume is flat or falling: Flowers Foods' total volume fell 5.8% in 2Q26 (Investing.com, 2026). We classify the industry as mature.

Competitive Landscape

Bimbo is number one globally with a 3.7% share, ahead of Mondelez (3.0%) and Gruma (1.1%) (Grupo Bimbo, 2026a, p. 107). Local shares matter more. In US fresh bread, buns and rolls, Bimbo holds about 27%, private label 26%, Flowers Foods 16% and Pepperidge Farm 5% (Flowers Foods, 2026, citing Circana). In Mexico Bimbo holds 18.2% of packaged bread, 28.2% of sweet baked goods and 18.4% of salty snacks, and in Canada 13.3% (Grupo Bimbo, 2026a, pp. 111, 113).

On valuation, Bimbo trades at 6.9x last-twelve-month EV/EBITDA against 5.5x for the core bakers (Flowers Foods and Gruma) and 8.3x for all eligible peers (Figure 5). Over five years its share price is −3.8% in pesos, while Flowers Foods is −75.3% and Campbell's −50.3% in dollars (S&P Capital IQ, 2026; team model).

Porter's Five Forces

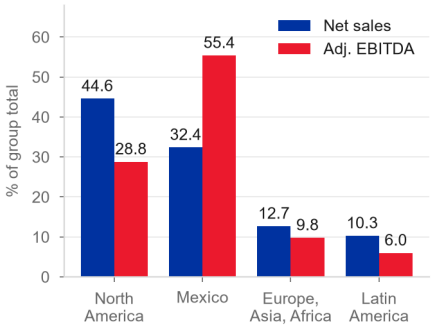
Bimbo is two industries in one (Figure 6) (team estimate). In Mexico and Latin America the buyer is fragmented and Bimbo owns the route network, which supports an EBITDA margin near 20% in Mexico (20.4% in FY2025) (Grupo Bimbo, 2026f, p. 85). In the United States, Canada and Europe the buyer is concentrated, private label is strong and volume shrinks. Scale protects volume there, but not margin.

- **Rivalry** is high in the United States. Flowers Foods has cut its FY2026 guidance again, and Bimbo claims share gains in every US category in 2Q26 in a category that shrinks in volume (S&P Capital IQ, 2026; Grupo Bimbo, 2026d, p. 3). In Mexico rivalry is medium, against fragmented artisanal baking.
- **New entrants** are a low threat at scale and a high one locally. Baking is cheap; delivering a 14-day product to stores is the barrier. The real entrants are private label, hard discounters and in-store bakeries (Grupo Bimbo, 2026a, pp. 100, 110).
- **Supplier power** is medium. Raw materials are 30.4% of sales and 63.8% of cost of sales, and wheat, sugar and oils are dollar commodities with exogenous prices. Gross margin follows wheat with about a one-year lag (correlation −0.74, 2017-2025) (Grupo Bimbo, 2026f, p. 82; team model).
- **Buyer power** is high in developed markets, where the modern channel is 77.7% of North America and Walmart is about 15% of group sales, and low in emerging markets, where traditional stores are about 59-60% (Grupo Bimbo, 2026a, pp. 103, 110).
- **Substitutes** are medium-high. Private label is about 35% of US fresh bread units and reached a record 23.8% of US grocery unit sales in 1H26 (Flowers Foods, 2026; Bakery & Snacks, 2026). GLP-1 drugs may take 0.5-1.5 points a year from bread and sweet-goods volume (team estimate).

Macro and Regulatory Drivers

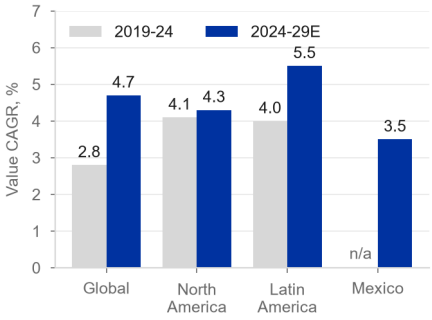
About 44% of sales come from developed markets, mainly the United States, Canada and Europe, and 42% of debt is in dollars after swaps, so the peso drives reported growth (Grupo Bimbo, 2026a, p. 78; 2026d, p. 6). In Mexico, NOM-051 front-of-pack labelling reaches its third phase on 1 January 2028, the IEPS excise tax is 8% on foods

Figure 3: Share of net sales vs. Adj. EBITDA, FY2025



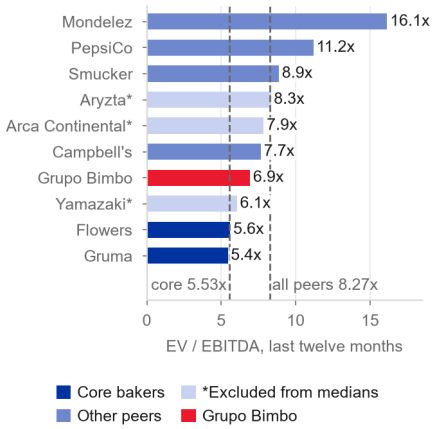
Source: Grupo Bimbo (2026b, p. 4; 2026e, p. 17).

Figure 4: Bakery market value growth



Source: Global Data, in Grupo Bimbo (2026a, pp. 107-111).

Figure 5: EV/EBITDA, Bimbo and peers



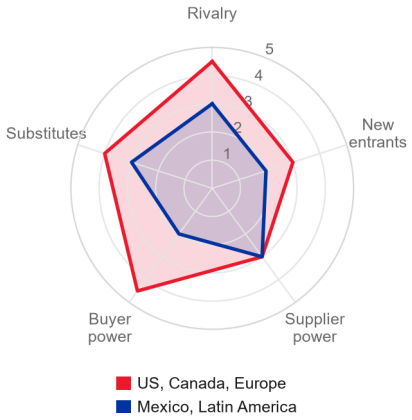
Source: S&P Capital IQ (2026); team model.

of 275 kcal per 100 g or more, and the working week falls to 46 hours in 2027 and 40 hours by 2030 (Grupo Bimbo, 2026a, pp. 23-31, 48). In the United States, shoppers are trading down: store brands reached a record 23.8% unit share in 1H26 (Bakery & Snacks, 2026).

Positioning and Moat

The delivery network is a wide moat in Mexico and Latin America, and the numbers show it: Mexico earns a 20.4% EBITDA margin against 9.0% in North America (Grupo Bimbo, 2026f, p. 85). It is not yet visible in the United States, where North America earns 9.6% over the last twelve months against 11.1% for Flowers Foods on a lease-comparable basis (S&P Capital IQ, 2026; team model). Bimbo has the highest gross margin of the bakers (52.6% against 48.6% for Flowers Foods) but spends the advantage on distribution, and it is more capital intensive than its peers (capex 5.2% of sales against a 3.7% median) (S&P Capital IQ, 2026; team model). The moat is eroded slowly by longer-shelf-life packaging, private label, Mexican labour costs and health regulation on the highest-margin categories (team estimate).

Figure 6: Porter's five forces (team estimate)



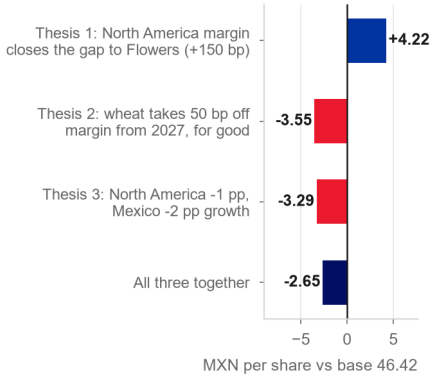
Source: Team estimate; 1 = weak force, 5 = strong.

Investment Summary

> **Theses validated by the team.** Rating: HOLD (provisional). Target price: to be set by the team.

We frame the case as three theses, each stated as a problem and its cause. One supports upside and two support downside. Their sizes are changes in our DCF value of MXN 46.42 per share, with the 12-month rating bands described under Valuation (Figure 7) (team model).

Figure 7: What each thesis is worth

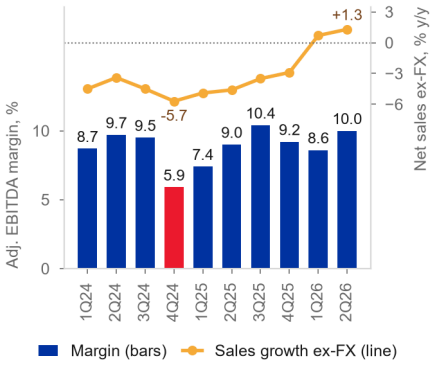


Source: Team model (DCF).

Thesis #1 (upside): North America's margin problem is being corrected — due to cost restructuring and better price/mix, with capex normalised and Mexico funding the turnaround

- **Evidence.** North America's Adjusted EBITDA margin rose from 5.9% in 4Q24 to 10.0% in 2Q26, expanding year on year in each of the last four quarters (+90, +330, +120 and +100 bp). Net sales excluding currency turned positive (+0.7% and +1.3%) after eight negative quarters, and management reports share gains in all US categories in 2Q26, the first time since 2020 (Grupo Bimbo, 2026b, pp. 4-7; 2026c, pp. 3, 5; 2026d, pp. 3-5) (Figure 8).
- **Cause.** Management credits the transformation programme (11 bakery closures in 2024 and "record productivity benefits" from 3Q25), lower raw materials, better price/mix and lower restructuring spend. The region's gross margin rose 330 bp, from 52.0% to 55.3% between 4Q24 and 2Q26 (Grupo Bimbo, 2026a, pp. 76-77; 2026b, p. 7; team model).
- **Cash.** Capex fell from MXN 34.8 billion in FY2023 to MXN 22.5 billion in FY2025 while cash flow from operations rose 20% to a record MXN 47.8 billion. Mexico, with 55% of EBITDA at a 20.4% margin, funds the turnaround (Figure 9) (Grupo Bimbo, 2026f, pp. 85-86).
- **Value.** North America earns 9.6% over the last twelve months against 11.1% for Flowers Foods on a lease-comparable basis. Closing that 150 bp gap adds MXN 4.22 per share; each 100 bp is worth MXN 2.81 (S&P Capital IQ, 2026; team model).
- **Why it matters for the rating.** A lasting recovery is what would support a premium to the core bakers' multiple. Without it, the 6.95x that the price requires is hard to defend (team model).
- **What would change our view.** A year-on-year fall in North America's margin in 3Q26 (3Q25: 10.4%) or capex back above 6% of sales (Grupo Bimbo, 2025, quarterly releases; team estimate).

Figure 8: North America: margin and sales growth



Source: Grupo Bimbo (2026b, 2026c, 2026d); quarterly releases.

Thesis #2 (downside): 2027 margins are at risk — due to wheat, with futures up 35% year on year and hedges placed at 2025 prices rolling off

- **Exposure.** Raw materials are 30.4% of sales and 63.8% of cost of sales, and wheat flour is the principal input, priced in dollars (Grupo Bimbo, 2026a, p. 97; 2026f, p. 82). Gross margin follows wheat with about a one-year lag (correlation −0.74, 2017-2025) (team model).
- **The shock.** CBOT December 2026 wheat settled at US$6.865 a bushel, 34.9% above a year ago, and December 2027 is 5.4% higher still (Trading Economics, 2026; IndexBox, 2026). Hedges placed at 2025 prices roll off into 2027, so we expect 1H27 to be the cost peak (team estimate). Bimbo does not disclose its 2027 hedge coverage.
- **Leakage.** FY2025 shows costs outrunning sales: salaries +7.5%, depreciation +13.3% and other costs +12.3% against sales +4.6%, and gross margin fell 30 bp to 52.3% (Grupo Bimbo, 2026f, p. 82) (Figure 10). Consensus expects 52.3% in FY2026 and 52.0% in FY2027, with no structural step down (S&P Capital IQ, 2026).
- **Value.** The question is persistence. A one-year, 100 bp hit in 2027 costs only MXN 0.66

per share. Losing 50 bp for good from 2027 costs MXN 3.55, and 100 bp costs MXN 7.09 (team model).

- **Against.** The 2Q26 gross margin was 52.6%, only 20 bp below a year earlier, and management raised its 2026 margin guidance to +70 to +120 bp (Grupo Bimbo, 2026d; 2Q26 earnings call).
- **What would change our view.** A gross margin above 52.5% in 3Q26 and 4Q26, together with 2027 guidance that absorbs wheat (team estimate).

Thesis #3 (downside): Organic growth falls short of the model — due to record private label, a shrinking US bread category and a Mexico that slowed to +2.4% in 2025

- **What the forecast needs.** Our regional build assumes that North America grows 1.5% a year in dollars while the US bread category loses 2-4% of its units and price/mix adds 1-2%, so Bimbo must outgrow its category by about 3 points. Mexico grows 5.0-5.5% a year against a 3.5% market, which means about 0.3 points of share gain a year from an 18.2% base (Figure 11) (team estimate; Grupo Bimbo, 2026a, p. 111).
- **Pressure.** Private label is about 35% of US fresh bread units and reached a record 23.8% of US grocery unit sales in 1H26. Flowers Foods' total volume fell 5.8% in 2Q26 (Flowers Foods, 2026; Bakery & Snacks, 2026; Investing.com, 2026).
- **Mexico slowed.** Net sales grew 4.0% in 2024 and 2.4% in 2025 (Grupo Bimbo, 2026a, p. 133).
- **Value.** One point less growth a year in North America costs MXN 1.12 per share and two points less in Mexico cost MXN 2.17; together they cost MXN 3.29 (team model).
- **Against.** The first half of 2026 contradicts part of this thesis: Mexico grew 4.5% and 4.7% and North America turned positive excluding currency (Grupo Bimbo, 2026c, p. 3; 2026d, p. 3). The forecast also grows group revenue 4.4-4.8% a year in FY2027E-FY2030E (a 4.6% CAGR for FY2026E-FY2030E), above the 4.2% a year expected for Bimbo's markets (team model).
- **What would change our view.** Mexico above +5% for two quarters in a row, or North America above +2% excluding currency (team estimate).

Putting the Theses Together

The three theses together move the DCF value by −MXN 2.65, from MXN 46.42 to MXN 43.77 at the base multiple: the buy thesis offsets about 60% of the two sell theses (team model). The rating still depends mostly on the exit multiple. The price requires 6.95x; our base uses 5.92x; the core bakers trade at 5.53x. Whether the three theses justify a premium to the core bakers is the team's decision.

Catalysts

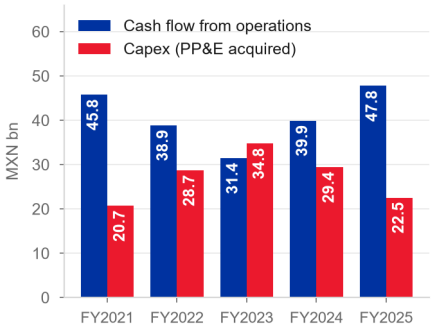
- **3Q26 results, late October 2026.** The last four years' releases fell on 26-29 October; the 2026 date is not yet announced (Grupo Bimbo, 2025, quarterly releases).
- **FY2026 results and 2027 guidance, late February 2027.** Past releases fell on 19-27 February. This is where management shows how it absorbs wheat in 2027 (Grupo Bimbo, 2025, quarterly releases).
- **Wheat entering the 2027 hedge book, 1H27** (team estimate), and Mexico's cap-and-trade operating rules, which management says will affect profits (Grupo Bimbo, 2026a).
- **Shareholders' meeting by end-April 2027**, with the FY2026 dividend (Grupo Bimbo, 2026a, p. 62).

Valuation

Approach

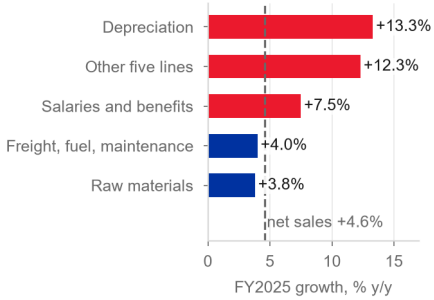
We value Bimbo with a five-year DCF of free cash flow to the firm (FCFF) for FY2026E-FY2030E, discounted to 16 October 2026. The exit-multiple terminal value is the primary method and a Gordon-growth terminal value is the cross-check. Trading comparables and a reverse DCF test the result. All values are in pesos per share (team model). The terminal value is 76% of enterprise value, which is why the multiple matters so much.

Figure 9: Cash flow from operations and capex



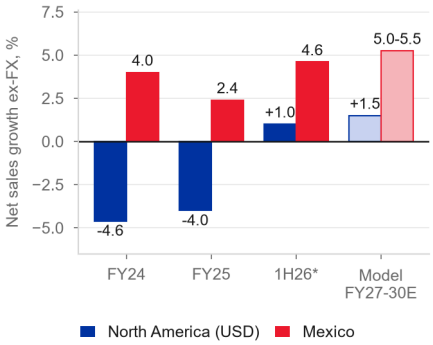
Source: Grupo Bimbo (2026f, pp. 85-86).

Figure 10: Cost of sales by nature: growth in FY2025



Source: Grupo Bimbo (2026f, p. 82); team model.

Figure 11: Net sales growth ex-FX: history vs. model



*Source: Grupo Bimbo (2026a, 2026c, 2026d); team estimate. *1H26 is the simple average of the 1Q26 and 2Q26 rates; model bars are annual rates.*

Forecast and Free Cash Flow

Revenue falls 0.5% in FY2026E because the peso translates North America lower (−7.4% in pesos), then grows 4.4-4.8% a year (a 4.6% CAGR for FY2026E-FY2030E). We set growth year by year and compound it; we use no CAGR as an input. Each year's rate is the midpoint between our regional build and consensus revenue (FY2026-FY2028, then faded) (S&P Capital IQ, 2026; team model). The Adjusted EBITDA margin rises from 14.6% to 15.0%, against about 14.7% in consensus. The 14.6% in FY2026E is +70 bp on FY2025, the low end of management's +70 to +120 bp guidance (2Q26 earnings call; team model). Capex is 4.9-5.1% of sales, close to consensus (about 5.0%) and above the 3.7% peer median. Tax is 32% of EBIT; the statutory rate is 30% and the effective rate has been about 34% (S&P Capital IQ, 2026; team model).

Forecast and free cash flow

MXN million	FY2025A*	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net sales	426,952	424,879	444,001	465,321	486,543	507,797
growth, % y/y	4.6%	-0.5%	4.5%	4.8%	4.6%	4.4%
Adj. EBITDA	59,456	62,185	64,542	68,937	72,567	76,245
margin	13.9%	14.6%	14.5%	14.8%	14.9%	15.0%
D&A	24,838	25,068	26,196	27,454	28,463	29,706
Capex (excl. new leases)	22,530	20,726	22,238	23,489	24,925	26,141
New leases	5,923	5,737	7,730	8,205	8,492	8,790
FCFF	**20,621**	**23,817**	**22,938**	**24,429**	**25,515**	**26,942**

*Source: team model. *FY2025A: reported figures (Grupo Bimbo, 2026f, pp. 85-86), except new leases (lease principal paid) and working capital, derived from the statements. Tax on EBIT, NOPAT and FCFF are pro forma at the 32% rate, for comparison only; the valuation counts flows from 30-Jun-2026.*

Cost of Capital

We value in pesos. The M-Bono yield already contains Mexico's default risk, so we remove the 1.75% default spread to reach a default-free peso rate of 7.51% and add a country risk premium (CRP) weighted by where Bimbo earns its EBITDA: North America 0.17% (28.8% of EBITDA), Mexico 2.72% (55.4%), Europe, Asia and Africa 2.63% (9.8%) and Latin America 3.94% (6.0%), which gives 2.05% (Damodaran, 2026; Grupo Bimbo, 2026e, p. 17). The unlevered beta of 0.545 is in line with Damodaran's global food-processing betas (0.53 to 0.56) and with Bimbo's own five-year regression on the IPC (0.54). Relevered at a market debt-to-equity ratio of 74.3% (leases included) it is 0.828, giving a cost of equity of 13.04% and a WACC of 10.38% (Damodaran, 2026; S&P Capital IQ, 2026; team model).

WACC build

Cost of capital	Value	Basis
Risk-free rate (peso, default-free)	7.51%	M-Bono 10y 9.26% less 1.75% default spread
Equity risk premium	4.20%	Damodaran implied ERP, 1-Oct-2026
Country risk premium	2.05%	Weighted by FY2025 Adj. EBITDA
Unlevered beta	0.545	Damodaran food processing 0.53-0.56; Bimbo regression 0.54
Debt / equity (market, with leases)	74.3%	Debt MXN 187.0bn; market cap MXN 251.7bn
Relevered beta	0.828	Tax rate 30%
Cost of equity	**13.04%**	**rf + beta x ERP + CRP**
Pre-tax cost of debt	9.71%	M-Bono 10y + 0.45 pp issue spread
After-tax cost of debt	6.80%	Tax rate 30%
Weights: equity / debt	57.4% / 42.6%	Market values
WACC	**10.38%**	**Peso, nominal**

Source: Damodaran (2026); S&P Capital IQ (2026); team model.

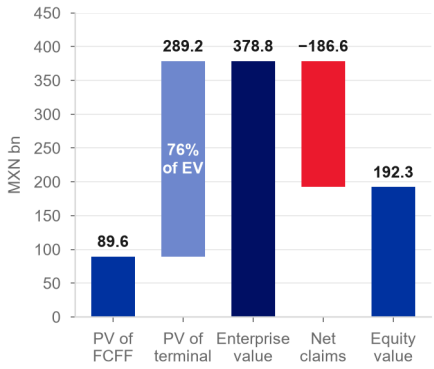
Terminal Value and Cross-checks

The terminal value is worth MXN 289.2 billion today, 76% of the MXN 378.8 billion enterprise value (Figure 12) (team model). The base exit multiple is 5.92x FY2030E EBITDA, close to the core bakers' median (5.53x for Flowers Foods and Gruma, 5.83x with Yamazaki and Aryzta) and below Bimbo's own 6.94x today (S&P Capital IQ, 2026; team model). It implies perpetual growth of 4.2%, below the 5.0% nominal GDP growth we assume for Mexico in the long run (IMF, 2026; team estimate). As a cross-check, a Gordon-growth terminal value with g of 4.125% and a return on new capital (RONIC) of 14.6% gives MXN 30.76. Letting FCFF grow at g without a reinvestment link gives MXN 41.65, which implies a RONIC of 27.7%. FY2025 ROIC was 7.2% against a 10.4% WACC (team model). The Gordon values therefore warn that the market multiple capitalises more growth than current returns on capital support.

Relative Valuation

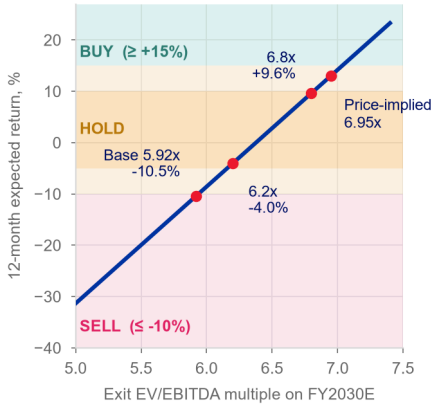
We use EV/EBITDA as the main multiple because it ignores capital structure, and we put every peer on an IFRS 16-equivalent basis (leases in debt, EBITDA before lease cost) so that Bimbo's IFRS accounts compare with US GAAP peers (S&P Capital IQ, 2026; team model). Four core bakers (Flowers Foods, Gruma, Yamazaki and Aryzta) set the floor and five consumer-staples peers (Smucker, Campbell's, Mondelez, Arca Continental and PepsiCo) the ceiling. Yamazaki, Aryzta and Arca Continental are left out of the medians because their lease or minority-interest data are not comparable. The core median is 5.53x and the eligible median 8.27x, against 6.94x for Bimbo. On last-twelve-month P/E

Figure 12: DCF: from enterprise value to equity value



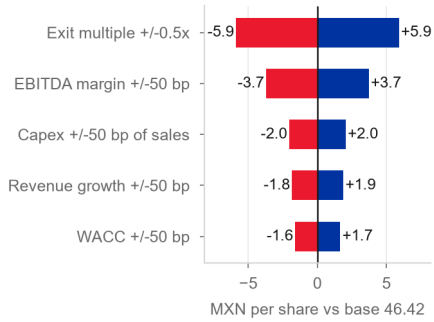
Source: Team model. Equity value / 4,294.9m shares = MXN 44.76 at 30-Jun; x 1.0369 roll to 16-Oct = MXN 46.42.

Figure 13: Exit multiple and 12-month expected return



Source: Team model.

Figure 14: Value per share: sensitivity to drivers



Source: Team model.

Bimbo trades at 18.5x against 16.4x for the core bakers and 16.2x for all eligible peers (S&P Capital IQ, 2026; team model). Bimbo therefore sits between the pure bakers and global consumer staples. Comparables give a range, not a point: the multiple that fits Bimbo's mix is the team's judgement.

Results by Method

Method (MXN per share)	Value	vs price	Note
DCF, exit multiple 5.92x (base)	**46.42**	**−20.8%**	**12-month value 51.42; expected return −10.5%**
DCF, Gordon (g 4.125%, RONIC 14.6%)	30.76	−47.5%	Cross-check; growth needs reinvestment
DCF, Gordon, no reinvestment link	41.65	−28.9%	Implies RONIC 27.7%
Comps, core bakers 5.53x	35.95	−38.7%	Flowers Foods, Gruma
Comps, exit multiple 6.0x	42.68	−27.2%	LTM EBITDA MXN 60,919m
Comps, all eligible peers 8.27x	74.87	+27.8%	Median of six peers
52-week trading range	53.03-68.67		Price on 16-Oct-2026: 58.60
Analyst targets, median (12)	69.50	+18.6%	Range 51-87; mean 70.17

Source: team model; S&P Capital IQ (2026). Comps use the Jun-26 bridge; targets are consensus.

The DCF with the exit multiple gives MXN 46.42, 21% below the price. Trading comparables span MXN 36-75 depending on whether the core bakers (5.5x) or all eligible peers (8.3x) are the reference, and analysts' targets (median MXN 69.50) sit above the price (S&P Capital IQ, 2026; team model).

Reverse DCF and Rating Bands

To justify MXN 58.60, the exit multiple must be 6.95x, or the WACC 6.96%, or revenue growth 3.1 points higher every year (team model). The first is where the stock trades today (6.94x), so the market is pricing no multiple compression.

Our rating convention uses a 12-month view. The 12-month value is today's value times (1 + cost of equity) less the next dividend (MXN 1.05). The expected return is the 12-month value over the price, minus one, plus the dividend yield. BUY is +15% or more, SELL is −10% or worse and HOLD is in between. At 5.92x the expected return is −10.5%, on the SELL edge. A clean HOLD (−5% to +10%) needs 6.16x to 6.82x, and BUY needs 7.04x or more (Figure 13) (team model).

Exit multiple	Reference	Value today	12-month value	Exp. return	Rating
5.00x		35.59	39.19	−31.3%	SELL
5.53x	Core bakers' median	41.80	46.20	−19.4%	SELL
5.92x	**Base case**	**46.42**	**51.42**	**−10.5%**	**SELL**
6.16x	Clean HOLD, lower bound	49.25	54.62	−5.0%	HOLD (clean)
6.50x		53.29	59.19	+2.8%	HOLD (clean)
6.82x	Clean HOLD, upper bound	57.02	63.41	+10.0%	HOLD (clean)
6.95x	Price-implied	58.60	65.19	+13.0%	HOLD
7.04x	BUY threshold	59.62	66.34	+15.0%	BUY

Source: team model. Expected return = 12-month value / price - 1 + dividend yield (MXN 1.05).

Sensitivity and Scenarios

Value moves most with the exit multiple (each 0.5x is worth MXN 5.90), then the margin (50 bp is worth MXN 3.72), capex (50 bp of sales, MXN 2.05), revenue growth (50 bp, MXN 1.84) and the WACC (50 bp, MXN 1.62) (Figure 14). The WACC and multiple grid in the appendix runs from MXN 32.8 (11.4%, 5.0x) to MXN 63.1 (9.4%, 7.0x) (team model). Our scenarios are MXN 35.45 for the downside (wheat takes 50 bp from 2027, growth falls short and the multiple is the core bakers' 5.53x), MXN 46.42 for the base and MXN 61.70 for the upside (North America closes the gap to Flowers Foods at a 6.82x multiple) (team model).

We have not set a target price. The team will choose the exit multiple on evidence (the core bakers' multiple, Bimbo's mix of Mexico and North America, and the governance discount), and the target price and rating follow from the table above.

Financial Analysis

Growth and Margins

Net sales grew from MXN 338,792 million in FY2021 to MXN 426,952 million in FY2025, a 6.0% CAGR that FY2022 (+17.7%) inflates; from FY2022 to FY2025 the CAGR is only 2.3%, as North America shrank in pesos and, until 1Q26, in constant currency (Grupo Bimbo, 2026f; team model). The Adjusted EBITDA margin has stayed in a narrow band: 14.0% in FY2021, 13.4%, 13.7%, 13.6% and 13.9% in FY2025 (Figure 15) (Grupo Bimbo, 2026f, p. 85; team model). Gross margin slipped from 53.5% to 52.3% over the same years, with a trough of 51.4% in FY2023, because raw materials (30.4% of sales) and labour grew faster than prices (Grupo Bimbo, 2026f, p. 82; team model). In FY2025 salaries rose 7.5% and depreciation 13.3% against sales of 4.6% (Grupo Bimbo, 2026f, p. 82).

Returns

Returns, margins and leverage, history

Ratio	FY2022A	FY2023A	FY2024A	FY2025A
DuPont analysis				
Net margin	11.8%	3.9%	3.1%	2.6%
Asset turnover	1.16x	1.15x	1.07x	1.03x
Leverage (assets / equity)	3.10x	2.99x	3.27x	3.37x
Return on equity	**42.4%**	**13.3%**	**10.7%**	**9.1%**
Margins and returns				
Gross margin	51.5%	51.4%	52.6%	52.3%
EBIT margin	13.5%	8.9%	8.1%	8.0%
ROIC	19.1%	10.4%	9.2%	7.2%
FCF margin	1.1%	-2.3%	1.1%	4.4%
Leverage and liquidity				
Net debt / Adj. EBITDA	1.89x	2.37x	3.22x	3.03x
EBIT / interest	6.67x	3.54x	2.53x	2.36x
Current ratio	0.76x	0.72x	0.86x	0.77x

Source: Grupo Bimbo (2026f); team model. FY2022 includes a non-cash pension gain. Average balances for DuPont; net debt includes leases.

Return on equity fell from 13.3% in FY2023 to 9.1% in FY2025 because the net margin fell from 3.9% to 2.6%. Interest expense rose from MXN 10,006 million to MXN 14,464 million as net debt, including leases, went from MXN 130 billion in FY2023 to MXN 180 billion in FY2025 (Bimbo closed 16 acquisitions in 2023-2025 while capex peaked), and depreciation rose from MXN 18.9 billion to MXN 24.8 billion (Grupo Bimbo, 2026a, pp. 75-78; 2026f; team model). Return on invested capital was 7.2% in FY2025, below the 10.4% WACC (Figure 16), with MXN 135.5 billion of goodwill and intangibles from past deals in the capital base (team model). Our DCF assumes that new capital earns 14.6%; that is the number the team must defend.

Cash Flow and Capital Intensity

Cash flow from operations rose 20% to a record MXN 47,753 million in FY2025 while capex (PP&E acquired) fell 23% to MXN 22,530 million. Free cash flow after lease payments reached MXN 18,989 million, a 4.4% margin against 1.1% in FY2024 (Grupo Bimbo, 2026f; team model). Dividends took MXN 4,316 million, and the FY2026 dividend of MXN 1.075 per share (a 1.8% yield) was paid in May 2026 (Grupo Bimbo, 2026a). Management lowered 2026 capex guidance to US$1.0-1.2 billion, about MXN 17.5-21.0 billion, because projects are running behind schedule (2Q26 earnings call; team model).

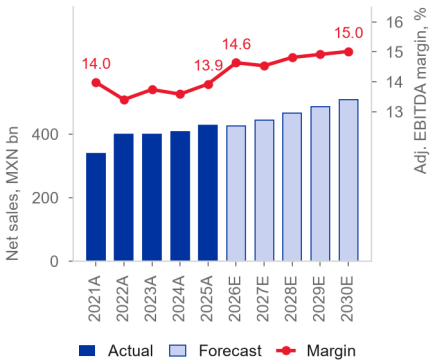
Balance Sheet

Net debt including leases was MXN 179,918 million at FY2025, 3.0x Adjusted EBITDA. On last-twelve-month data to June 2026 it is 2.8x on our peer basis against a peer median of 3.0x, and 2.5x on the company's definition (Figure 17) (Grupo Bimbo, 2026d, p. 6; S&P Capital IQ, 2026; team model). Debt is long and diversified: average maturity 9.5 years, average cost 6.5%, 96% long term, and a currency mix of 42% dollars, 42% pesos, 12% euros, 3% Canadian dollars and 1% sterling after swaps (Grupo Bimbo, 2026d, p. 6). Liquidity includes an undrawn US$2,350 million revolver (Grupo Bimbo, 2026a, p. 82). Interest cover (EBIT over interest) fell from 4.2x in FY2021 to 2.4x in FY2025, which is thin; S&P rates Bimbo BBB+ with a negative outlook since March 2025 (team model; LSEG, 2026).

Forecast and Why It Differs From History

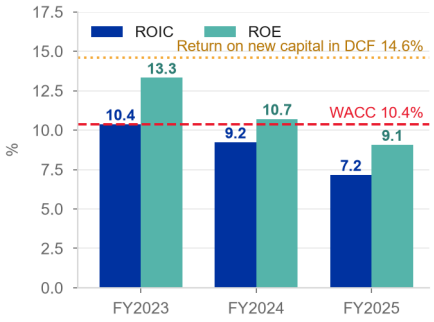
The consolidated forecast has three features that differ from the last four years. First, revenue growth recovers from −0.5% in FY2026E (peso translation) to 4.4-4.8% a year (a 4.6% CAGR over FY2026E-FY2030E), above the 4.2% a year expected for Bimbo's markets, because North America stops shrinking and Mexico grows 5.0-5.5% (team model). Second, the EBITDA margin rises 70 bp in FY2026E, dips 10 bp in FY2027E for wheat and reaches 15.0% in FY2030E, above the 13.4-14.0% band of FY2021-FY2025. Third, capex stays near 5% of sales instead of the 7-9% of FY2022-FY2024, which lifts FCFF to MXN 23-27 billion a year, 35-38% of EBITDA (team model). Each of the three is a thesis in the Investment Summary and a source of risk.

Figure 15: Net sales and Adj. EBITDA margin



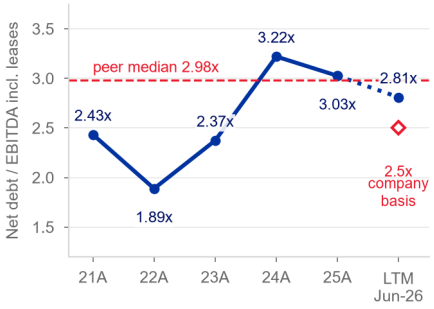
Source: Grupo Bimbo (2026f); team model.

Figure 16: Returns on capital vs. cost of capital



Source: Grupo Bimbo (2026f); team model.

Figure 17: Net debt / EBITDA including leases



Source: Grupo Bimbo (2026f, 2026d, p. 6); S&P Capital IQ (2026); team model.

Risks

We score 14 risks for probability and impact from 1 to 5 (team estimate; Figure 18) and size impact as the change in DCF value per share against the base of MXN 46.42 (team model). Six carry value and are discussed here; the full table is in the appendix.

1. Wheat and climate input costs (R1; probability 3, impact 4; Thesis 2)

Wheat, the main input, is up 35% year on year and is priced in dollars. Losing 50 bp of margin from 2027 costs MXN 3.55 per share and 100 bp costs MXN 7.09 (team model). Mitigation is partial: Bimbo hedges wheat and natural gas with cash-flow hedges (a book of about MXN 315 million at end-2025, 64% of it wheat), raises prices and cuts costs, but the hedges cover about a year, so they delay the cost rather than remove it (Grupo

Bimbo, 2026f). Consensus gross margin (52.3%, 52.0% and 52.05% for FY2026-28) shows no structural step down, and our model has a 10 bp dip in FY2027, so little of this risk is priced in (S&P Capital IQ, 2026; team model).

2. The North America turnaround stalls (R2; probability 3, impact 4; Thesis 1)

The recovery is margin-led, not volume-led. Net sales excluding currency have grown only 0.7% and 1.3% in two quarters, and the company gives no volume, price or mix split for the region (Grupo Bimbo, 2026d, p. 3). If the margin fell back to FY2024's 8.4% from 9.6% over the last twelve months, we would lose about MXN 3.4 per share, since each 100 bp is worth MXN 2.81 (team model). Management points to record productivity benefits, 11 bakery closures and a 2026 margin guide of +70 to +120 bp (Grupo Bimbo, 2026a, pp. 76-77; 2Q26 earnings call). Our model assumes a gradual margin gain rather than a North America path, so the recovery is partly priced in.

3. Mexican labour and health policy (R4; probability 3, impact 4; Thesis 3)

Mexico is 32% of sales and 55% of EBITDA. The working week falls to 46 hours in 2027 and 40 hours by 2030, NOM-051 reaches its third phase in 2028 and the IEPS excise tax could rise above 8% (a tail risk). A 100 to 150 bp fall in the Mexican margin costs MXN 2.79 to 4.19 per share (Grupo Bimbo, 2026a, pp. 23-31, 48; team model). Mitigation is reformulation (98-99% of the daily portfolio has no artificial colours or flavours), pricing and route productivity. The 8% IEPS is in our base; labour-hour cuts are not modelled.

4. Capital allocation breaks the debt hold (R3; probability 3, impact 3)

Net debt is 3.0x Adjusted EBITDA at FY2025 and S&P has a negative outlook on the BBB+ rating. A deal at 8-9x EBITDA adds about 0.29x of leverage per US$1 billion (team model). Management cut 2026 capex guidance and reduced net debt from MXN 145.1 billion at December 2025 to MXN 137.1 billion at June 2026 (Grupo Bimbo, 2026d, p. 6). Our model has no acquisitions.

5. The exit multiple compresses (R5 and R9; probability 3 and 4, impact 3 and 2)

The price needs 6.95x while the core bakers trade at 5.53x; at that multiple the DCF is worth MXN 41.80, MXN 4.62 below the base (team model). Controlled-company governance is a reason for a discount to consumer peers: six vehicles hold 72.03% (Figure 19), 7 of 18 directors are independent, and the board must approve any transfer that takes a holder to 3% (Grupo Bimbo, 2026a, pp. 181-182; 2026g, art. 17). The market already pays a premium to the bakers, so we add no WACC premium; each 0.5x on the exit multiple is worth MXN 5.90 per share (team model).

6. The peso depreciates less than assumed (R6; probability 3, impact 3)

North America's 3.0% growth in pesos includes about 1.5 points of peso depreciation, which assumes inflation in the United States above Mexico's (team estimate). Each point of lower North America growth in pesos costs MXN 1.12 per share (team model). About 42% of debt is in dollars, which hedges part of the exposure (Grupo Bimbo, 2026d, p. 6).

Other Risks and the Downside Case

The remaining eight risks have an impact of 2 or less: USMCA and tariffs (R7), GLP-1 drugs and health habits (R8), Canada Bread antitrust class actions without a provision (R10), US multi-employer pension plans (R11), water stress and the new packaging law (R12), cyber attack (R13) and Argentina, Venezuela and Russia (R14) (Grupo Bimbo, 2026a, pp. 22-37; team estimate). A downside case that combines the wheat and growth theses (−50 bp from 2027; −1 point in North America and −2 points in Mexico) gives MXN 39.72. Adding the core bakers' 5.53x multiple gives MXN 35.45, an expected return of −31.6% (team model).

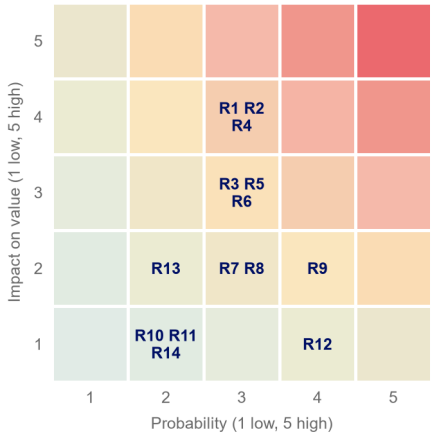
ESG

Bimbo's 2025 double-materiality analysis found 11 material topics (Grupo Bimbo, 2026e, pp. 146-147). We propose five and rank them by their link to value: climate and input costs, nutrition and health regulation, water, packaging and circular economy, and sustainable sourcing (team estimate). Climate through wheat and nutrition regulation in Mexico move value; governance moves the multiple. The two main ESG ratings disagree: the S&P Global ESG Score is 59 in 2026 against a food-industry average of 29 (Figure 20), while LSEG rates Bimbo A (84.62), 12th of 416 food and tobacco companies (Figure 21) (S&P Capital IQ, 2026; LSEG, 2026). LSEG scores the presence of policies and S&P the quality of disclosure, so LSEG alone may overstate governance (team estimate).

Environmental | Climate and input costs matter most

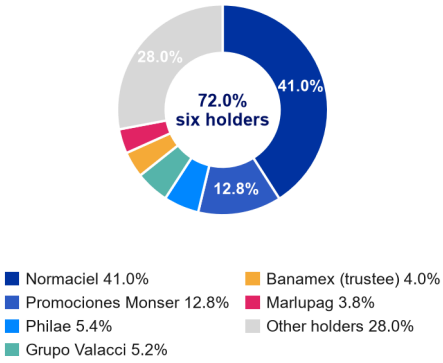
Scope 1 emissions were 1,240,655 t in FY2025 (+8.6%) and Scope 3 emissions 11,764,297 t (+3.0%) (LSEG, 2026, preliminary data). The 2025 Scope 3 target (−12.5% against 2019) was missed. On the restated baseline, Scope 1 is 1.4% above 2019, and the 2019 Scope 3 baseline itself was restated 42% higher; the 2030 targets are −50% for

Figure 18: Risk matrix



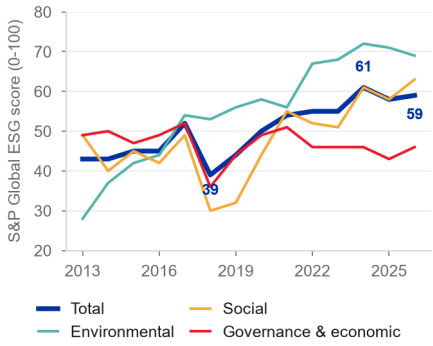
Source: Team estimate (see Appendix A8).

Figure 19: Shareholder structure



Source: Grupo Bimbo (2026a, pp. 181-182).

Figure 20: S&P Global ESG score, 2013-2026



Source: S&P Capital IQ (2026).

Scope 1 and −28% for Scope 3 (Figure 22) (LSEG, 2026; Grupo Bimbo, 2026e, p. 169). S&P's climate-strategy score fell from 81 to 54 in 2026 (S&P Capital IQ, 2026). The integrated report states that 100% of electricity is renewable, partly through certificates; the LSEG annex says 99%, a difference to clear before quoting. Limited assurance by KPMG does not cover emissions (Grupo Bimbo, 2026e, pp. 176-180).

Water and packaging carry regulatory risk. By two counts, 89 to 101 plants sit in areas of high water stress; the December 2025 water-law reform limits transfers of concessions; and water use per tonne was 7% below 2019 at end-2024 against a 20% target for 2030 (Grupo Bimbo, 2026a, pp. 39, 93; 2026e, pp. 12, 98). The January 2026 Circular Economy Law creates producer responsibility for packaging, 99% of which is recyclable, but its cost is not yet set (Grupo Bimbo, 2026a, pp. 38-39, 91-92).

Social | Health and labour

Bimbo has 147,873 employees on payroll in 39 countries, or 170,642 including contractors (Grupo Bimbo, 2026e, p. 63). Its recordable injury rate fell from 2.38 in 2021 to 1.59 in 2025 (internal audit only), and women hold 30.5% of leadership roles (Grupo Bimbo, 2026e, pp. 64, 75-76). Some 48% of sales have an optimal nutrition profile, and Bimbo ranks fourth globally in the 2024 Access to Nutrition Initiative index (Grupo Bimbo, 2026a, pp. 29-31, 79, 89; 2026e, p. 11). The social issue that reaches value is Mexico's labour reform, with a 46-hour week in 2027 and 40 hours by 2030 (Grupo Bimbo, 2026a, p. 48).

Governance | A controlled company

Six holding vehicles hold 72.03% of the shares. The chair is executive, a family member and has a casting vote; 7 of 18 directors are independent (38.9% against a 25% legal floor) and seven carry the Servitje surname (Grupo Bimbo, 2026a, pp. 171, 181-182; LSEG, 2026). The audit committee is fully independent (5 of 5). Related-party transactions were MXN 9,823 million, 2.3% of sales (Grupo Bimbo, 2026f, note 15). The by-laws require board approval for any transfer that takes a holder to 3% and set a 30% tender-offer trigger with board approval, and a 10% stake is needed to call a meeting, which is 36% of the free float (Grupo Bimbo, 2026g, arts. 17, 17 bis, 47-48; team model). Two CEO changes in 18 months (May 2024 and November 2025) add key-person risk. Our governance scorecard gives 31 of 64 points, 48% (Figure 23) (team estimate).

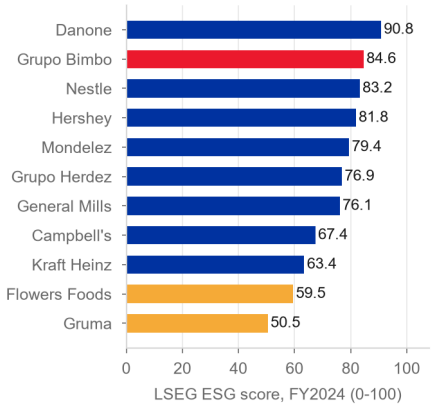
Link to Valuation

- **Climate and input costs** act through gross margin: losing 50 bp costs MXN 3.72 per share if sustained from FY2026E and MXN 3.55 from FY2027E (team model).
- **Nutrition regulation** acts through the Mexican margin: −100 to −150 bp costs MXN 2.79 to 4.19 (team model).
- **Governance** acts through the multiple, not the discount rate: each 0.5x is worth MXN 5.90, and we add no WACC premium because the market already pays a premium to the bakers (team model).
- **Carbon price or packaging fees** of MXN 1 billion a year from FY2027 would cost MXN 1.43; a one-off claim of MXN 1 billion, MXN 0.24; and the Scope 3 step-up on the 23L bond is worth less than MXN 0.01 per share (team model).
- Water, packaging and sourcing are material but not quantifiable, because Bimbo does not publish its sustainability capex (Grupo Bimbo, 2026e, p. 168).

Opportunities | From compliance to leadership

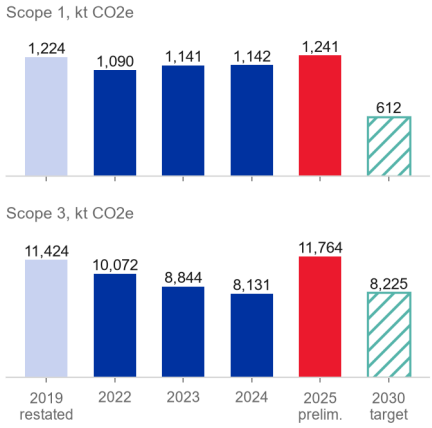
The double-materiality analysis gives a framework to prioritise, and 85% of palm volume is now deforestation-free, up from 70% in December 2024 (Grupo Bimbo, 2026a, pp. 40, 95-96; 2026e, pp. 146-147). The split of CEO and chair since May 2024 and a fully independent audit committee are positives. If Bimbo turns its disclosures into assured emission cuts (emissions are not assured and SBTi validation is paused), part of the ESG discount could narrow (team estimate).

Figure 21: LSEG ESG score vs. food peers



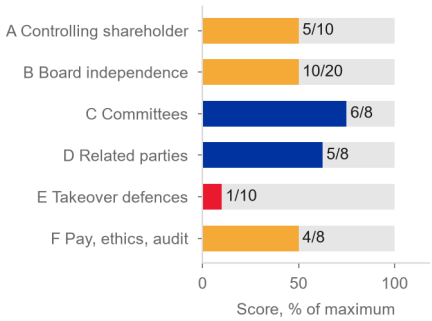
Source: LSEG (2026).

Figure 22: Greenhouse gas emissions and 2030 targets



Source: LSEG (2026); Grupo Bimbo (2026e, p. 169).

Figure 23: Governance scorecard



Source: Team estimate (31 of 64 points).

Appendix

A1. Key Financial Modelling Assumptions

The valuation starts from the FY2025 audited IFRS accounts (Grupo Bimbo, 2026f). The DCF values free cash flow to the firm (FCFF) for FY2026E-FY2030E. For each year we set revenue growth, the Adjusted EBITDA margin, D&A (5.9% of sales), capex excluding new leases (4.9-5.1% of sales), new leases (1.4% of sales plus 8.1% of each year's revenue increase), working-capital changes (about 0.1% of sales) and tax on EBIT (32%) (team model).

Group revenue growth is set year by year and compounded: −0.5% in FY2026E, then 4.5%, 4.8%, 4.6% and 4.4% in FY2027E-FY2030E (a 4.6% CAGR for FY2026E-FY2030E and 3.5% for FY2025-FY2030E). We use no CAGR as an input; CAGRs appear only for history and market data. Each year's rate is the midpoint between our regional build and consensus revenue (FY2026-FY2028, then faded) (S&P Capital IQ, 2026; team model). The regional build assumes that North America drops 7.4% in pesos in FY2026E (the first half was −11.3% in pesos and +1.0% excluding currency, and we assume −3.5% in the second half) and then grows 3.0% a year in pesos, about 1.5% in dollars plus about 1.5 points of peso depreciation, and that Mexico grows 5.0-5.5% a year. The Adjusted EBITDA margin is 14.6% in FY2026E and 15.0% in FY2030E (team estimate; S&P Capital IQ, 2026). Regional sensitivities in the Investment Summary and the Risks section move group revenue or margin by the region's share of sales: a one-point change in North America's growth moves group growth by about 0.4 points (team model).

The equity bridge uses the 30 June 2026 balance sheet: financial debt of MXN 153,660 million and lease liabilities of MXN 33,361 million (MXN 187,021 million in total), cash of MXN 16,563 million, non-controlling interests at market value (MXN 18,069 million, capitalising their income of MXN 1,814 million at the cost of equity less 3% growth) and net associates of MXN 1,959 million. Pensions, provisions and derivatives (MXN 18,135 million) are deducted only in the Gordon method, because peer enterprise values exclude them (Grupo Bimbo, 2026d, p. 8; team model). FY2026E free cash flow counts only the 184 days after 30 June, flows are discounted at mid-period, and the equity value is rolled 108 days to 16 October at the cost of equity. There are 4,294.9 million shares outstanding (S&P Capital IQ, 2026).

A2. Income Statement, Balance Sheet and Cash Flow

Audited figures, FY2021A-FY2025A, MXN million (Grupo Bimbo, 2026f).

Income statement

MXN million	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A
Revenue	338,792	398,706	399,879	408,335	426,952
Cost of sales	157,703	193,325	194,369	193,407	203,465
Gross profit	**181,089**	**205,381**	**205,510**	**214,928**	**223,487**
Operating expenses (net)	148,509	151,685	170,055	181,779	189,341
EBIT	**32,580**	**53,696**	**35,455**	**33,149**	**34,146**
Interest expense	7,823	8,049	10,006	13,100	14,464
Interest income	363	740	809	924	897
Other financial result, net	988	16,479	(950)	(133)	(436)
Pre-tax income	26,108	62,866	25,308	20,840	20,143
Income tax	8,726	14,381	8,386	6,797	7,197
Net income	**17,382**	**48,485**	**16,922**	**14,043**	**12,946**
Attributable to non-controlling interests	1,466	1,575	1,445	1,499	1,813
Net income to shareholders	15,916	46,910	15,477	12,544	11,133
Diluted EPS	3.55	10.54	3.50	2.88	2.58
D&A (included in costs above)	16,126	18,038	18,929	23,051	24,838
EBITDA (post-IFRS 16)	48,706	71,734	54,384	56,200	58,984

Balance sheet

MXN million	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A
Cash and equivalents	8,748	12,313	6,353	8,057	8,535
Accounts receivable	19,184	21,600	21,268	23,555	23,784
Inventories	13,710	16,989	16,120	18,832	17,151
Other current assets	11,769	12,568	15,173	16,736	15,201
Total current assets	53,411	63,470	58,914	67,180	64,671
PP&E and right-of-use assets, net	134,645	141,982	155,004	189,596	190,180
Intangibles and goodwill	131,530	127,147	117,101	140,908	135,515
Other non-current assets	18,054	15,165	17,083	19,120	19,439
Total assets	**337,640**	**347,764**	**348,102**	**416,804**	**409,805**
Accounts payable	35,752	44,058	40,409	40,815	39,074
Other current liabilities	28,590	33,311	28,100	32,338	31,788
Short-term debt	10,625	6,435	12,932	4,862	12,635
Total current liabilities	74,967	83,804	81,441	78,015	83,497
Long-term debt	82,230	77,619	97,003	146,043	141,028
Lease liabilities	31,149	29,185	26,815	35,801	34,790
Other non-current liabilities	47,688	29,554	31,215	29,247	30,235
Total liabilities	**236,034**	**220,162**	**236,474**	**289,106**	**289,550**
Shareholders' equity	97,100	124,111	108,322	125,944	119,512
Non-controlling interests	4,506	3,491	3,306	1,754	743
Total equity	**101,606**	**127,602**	**111,628**	**127,698**	**120,255**
Total liabilities and equity	337,640	347,764	348,102	416,804	409,805
Net debt	**115,256**	**100,926**	**130,397**	**178,649**	**179,918**

Appendix

Cash flow statement

MXN million	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A
Change in working capital		6,533	(10,264)	(1,918)	696
Cash flow from operations	**45,776**	**38,851**	**31,411**	**39,907**	**47,753**
Capital expenditures	21,293	29,467	35,672	30,174	22,841
Dividends paid	4,502	5,791	3,458	4,125	4,316
Lease principal paid (IFRS 16)	4,117	5,056	4,802	5,321	5,923
Free cash flow (CFO - capex - lease principal)	**20,366**	**4,328**	**(9,063)**	**4,412**	**18,989**

A3. DCF Summary and Equity Bridge

Free cash flow to the firm

MXN million	FY2025A*	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
EBITDA	59,456	62,185	64,542	68,937	72,567	76,245
D&A	(24,838)	(25,068)	(26,196)	(27,454)	(28,463)	(29,706)
EBIT	34,618	37,117	38,346	41,483	44,104	46,539
Tax on EBIT (32%)	(11,078)	(11,878)	(12,271)	(13,274)	(14,113)	(14,892)
NOPAT	23,540	25,240	26,075	28,208	29,991	31,646
Plus D&A	24,838	25,068	26,196	27,454	28,463	29,706
Less capex (excl. new leases)	(22,530)	(20,726)	(22,238)	(23,489)	(24,925)	(26,141)
Less new leases	(5,923)	(5,737)	(7,730)	(8,205)	(8,492)	(8,790)
Working capital	696	(28)	636	460	479	521
FCFF	**20,621**	**23,817**	**22,938**	**24,429**	**25,515**	**26,942**
PV of FCFF (stub-adjusted)	n/a	11,711	20,773	20,043	18,966	18,144

*Source: team model. *FY2025A: reported figures (Grupo Bimbo, 2026f, pp. 85-86), except new leases (lease principal paid) and working capital, derived from the statements. Tax on EBIT, NOPAT and FCFF are pro forma at the 32% rate, for comparison only; the valuation counts flows from 30-Jun-2026.*

Equity bridge (exit-multiple method)

Enterprise value to equity value	MXN million
PV of FCFF FY2026E-FY2030E	89,637
Terminal value (5.92x x FY2030E EBITDA 76,245)	451,164
PV of terminal value	289,189
Enterprise value	**378,826**
Less debt including leases	(187,021)
Plus cash	16,563
Less non-controlling interests (market value)	(18,069)
Plus net associates	1,959
Equity value at 30-Jun-2026	**192,259**
Per share at 30-Jun-2026 (4,294.9m shares)	44.76
Rolled to 16-Oct-2026 (x 1.0369)	**46.42**
Terminal value share of enterprise value	76%
Gordon cross-check (RONIC 14.6%): per share	30.76
Gordon, no reinvestment link: per share	41.65

Source: team model. Gordon claims also deduct MXN 18,135 million of pensions, provisions and derivatives.

A4. Country Risk Premium

Region	Equity CRP	Share of FY2025 Adj. EBITDA	Contribution
North America	0.17%	28.8%	0.05%
Mexico	2.72%	55.4%	1.51%
Europe, Asia and Africa	2.63%	9.8%	0.26%
Latin America	3.94%	6.0%	0.24%
Weighted country risk premium		**100.0%**	**2.05%**

Source: Damodaran (2026, July update); Grupo Bimbo (2026e, p. 17); team model.

A5. Sensitivity Tables

Value per share, exit-multiple method (MXN)

WACC \ exit multiple	5.00x	5.50x	5.92x	6.50x	7.00x
9.38%	38.49	44.64	49.77	56.93	63.08
9.88%	37.03	43.05	48.07	55.09	61.11
10.38%	**35.59**	**41.49**	**46.42**	**53.29**	**59.19**
10.88%	34.20	39.98	44.80	51.54	57.32
11.38%	32.83	38.49	43.22	49.82	55.49

Source: team model. Base case WACC 10.38%, multiple 5.92x. NCI claim and roll factor held at the base cost of equity.

Value per share, Gordon method with RONIC 14.6% (MXN)

WACC \ terminal growth	3.125%	3.625%	4.125%	4.625%	5.125%
9.38%	38.81	41.76	45.25	49.43	54.55
9.88%	32.45	34.73	37.37	40.49	44.23
10.38%	**26.96**	**28.73**	**30.76**	**33.10**	**35.86**
10.88%	22.19	23.57	25.12	26.90	28.95
11.38%	18.00	19.07	20.26	21.61	23.14

Source: team model.

Appendix

A6. Relative Valuation and Competitor Profiles

We compare Bimbo with nine listed companies on one basis: last-twelve-month data to June 2026, enterprise value and EBITDA on an IFRS 16-equivalent basis, and prices of 16 October 2026 (S&P Capital IQ, 2026; team model). Yamazaki, Aryzta and Arca Continental are excluded from the medians because their lease or minority-interest data could not be verified on the same basis.

Company	Ticker	EV/EBITDA LTM	EV/EBITDA NTM	EV/Sales	P/E LTM	ND/EBITDA	EBITDA margin
Flowers Foods, Inc.	NYSE:FLO	5.61x	6.15x	0.62x	23.4x	3.37x	11.1%
Gruma, S.A.B. de C.V.	BMV:GRUMA B	5.44x	5.64x	0.93x	9.4x	1.47x	17.1%
Yamazaki Baking Co., Ltd. *	TSE:2212	6.06x	5.84x	0.49x	17.7x	-0.67x	8.2%
ARYZTA AG *	SWX:ARYN	8.33x	5.81x	0.82x	10.2x	3.50x	9.8%
The J. M. Smucker Company	NYSE:SJM	8.88x	9.22x	2.24x	58.6x	2.98x	25.2%
The Campbell's Company	NasdaqGS:CPB	7.66x	8.36x	1.36x	15.1x	4.25x	17.8%
Mondelez International, Inc.	NasdaqGS:MDLZ	16.14x	13.80x	2.57x	23.1x	3.25x	15.9%
Arca Continental, S.A.B. de C.V. *	BMV:AC	7.85x	7.11x	1.52x	18.7x	0.74x	19.4%
PepsiCo, Inc.	NasdaqGS:PEP	11.19x	11.03x	2.28x	16.1x	2.26x	20.4%
Grupo Bimbo, S.A.B. de C.V.	**BMV:BIMBO A**	**6.94x**	**6.58x**	**1.00x**	**18.5x**	**2.81x**	**14.5%**
Core median (Flowers, Gruma)		**5.53x**	**5.89x**	**0.77x**	**16.4x**	**2.42x**	**14.1%**
All eligible median		**8.27x**	**8.79x**	**1.80x**	**16.1x**	**3.12x**	**17.4%**
All eligible mean		**9.15x**	**9.03x**	**1.67x**	**17.4x**	**2.93x**	**17.9%**

*Source: S&P Capital IQ (2026), prices of 2026-10-16; team model. * Excluded from medians (lease or minority-interest data not verified on one basis).*

- **Flowers Foods (NYSE: FLO):** the US pure-play baker with direct-store delivery and the mirror of Bimbo's North America. It reports under US GAAP, has no Mexican business and is in distress, with a cut guidance and dividend and an S&P rating of BB+ with a negative outlook (S&P Capital IQ, 2026).
- **Gruma (BMV: GRUMA B):** a Mexican issuer under IFRS with Mexico and US operations in tortilla and flour. Its core is corn, not bread, and its gross margin is 38.8% against Bimbo's 52.6% (S&P Capital IQ, 2026).
- **Yamazaki Baking (TSE: 2212):** the largest pure-play baker outside the Americas, under J-GAAP, with operating leases off balance sheet.
- **Aryzta (SWX: ARYN):** a European bakery, quick-service and frozen business under IFRS.
- **J.M. Smucker (NYSE: SJM) and Campbell's (NASDAQ: CPB):** Smucker owns Hostess, which competes with Bimbo in US sweet baked goods; Campbell's owns Pepperidge Farm in bread and snacks.
- **Mondelez (NASDAQ: MDLZ), PepsiCo (NASDAQ: PEP) and Arca Continental (BMV: AC):** global and Mexican consumer staples with cookies and snacks (Mondelez, PepsiCo's Gamesa and Sabritas) or their own routes (Arca); they carry a quality premium and are not operating peers.

A7. Segment Data

MXN million	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales by segment					
North America	175,369	205,674	192,534	189,330	190,211
Mexico	109,089	130,401	145,387	151,164	154,809
Europe, Asia and Africa	34,195	37,536	40,545	45,044	54,214
Latin America	31,109	38,411	36,647	39,879	44,120
Eliminations	(10,970)	(13,316)	(15,234)	(17,082)	(16,402)
Consolidated	**338,792**	**398,706**	**399,879**	**408,335**	**426,952**
Adjusted EBITDA by segment					
North America	21,452	22,611	20,217	15,812	17,117
Mexico	20,771	23,320	27,484	30,762	31,630
Europe, Asia and Africa	2,704	2,626	2,932	4,212	5,830
Latin America	1,926	3,433	3,531	3,603	3,552
Eliminations and other	519	1,456	778	1,084	1,327
Consolidated	**47,372**	**53,446**	**54,942**	**55,473**	**59,456**
Adjusted EBITDA margin (EBITDA / segment sales)					
North America	12.2%	11.0%	10.5%	8.4%	9.0%
Mexico	19.0%	17.9%	18.9%	20.4%	20.4%
Europe, Asia and Africa	7.9%	7.0%	7.2%	9.4%	10.8%
Latin America	6.2%	8.9%	9.6%	9.0%	8.1%
Consolidated	**14.0%**	**13.4%**	**13.7%**	**13.6%**	**13.9%**

Source: Grupo Bimbo (2026f, pp. 85-86; 2026a); team model. FY2021 restated for the Ricolino reclassification. Segment margins exclude intercompany royalties.

Appendix

A8. Full Risk Table

#	Risk	Type	P	I	Value impact, MXN/share	Mitigation	Priced in?
R1	Wheat and climate input costs cut gross margin for good	ESG	3	4	-3.55 for -50 bp from FY2027E	Hedges (about one year), pricing, productivity	No
R2	North America turnaround stalls; margin returns to 8.4%	Operational	3	4	-3.4 (100 bp = -2.81)	Transformation programme; record productivity	Partly
R3	Capex or M&A breaks the debt hold; S&P outlook negative	Financial	3	3	Not quantified	2026 capex guide cut; US$2.35bn undrawn revolver	Partly
R4	Mexican labour and health policy lowers margin	Regulatory	3	4	-2.79 to -4.19 for -100 to -150 bp	Reformulation, pricing, route productivity	Partly
R5	Exit multiple falls to the core bakers' 5.53x	Market	3	3	-4.62	None at company level	Partly
R6	Peso depreciates less than assumed in North America	Financial	3	3	-1.12 per point of growth	42% of debt in USD; net-investment hedges	No
R7	USMCA not renewed; tariffs on inputs or Mexican goods	Regulatory	3	2	Not quantified	Local production in each market	Partly
R8	GLP-1 drugs and health habits lower volume	Market	3	2	-1.84 per -50 bp of growth	Protein, clean label, smaller portions	No
R9	Controlled-company governance: no multiple convergence	Governance	4	2	Inside R5 (0.5x = -5.90)	Audit committee 5/5 independent; CEO and chair split	Yes
R10	Canada Bread antitrust class actions, no provision	Governance	2	1	-0.24 per MXN 1bn	Claim against Maple Leaf above CAD 2bn	No
R11	US multi-employer pension plan liabilities	Financial	2	1	In the bridge	Withdrawals negotiated; liability MXN 985m	Yes
R12	Water stress; packaging law; Scope 3 target missed	ESG	4	1	-1.43 per MXN 1bn a year	Treated-water reuse; 99% recyclable packaging	Partly
R13	Cyber attack on plants or routes	Operational	2	2	Not quantified	Insurance with exclusions	No
R14	Argentina, Venezuela and Russia exposure	Operational	2	1	Latin America is 6% of EBITDA	Venezuela deconsolidated; IAS 29 in Argentina	Yes

Probability (P) and impact (I): 1 low, 5 high. Value impacts in MXN per share on the DCF of MXN 46.42. Source: team estimate (P, I, priced-in); team model (value impacts); Grupo Bimbo (2026a, 2026d).

A9. ESG Data

S&P Global ESG score history

S&P Global ESG score	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Total	**43**	**43**	**45**	**45**	**52**	**39**	**44**	**50**	**54**	**55**	**55**	**61**	**58**	**59**
Environmental	28	37	42	44	54	53	56	58	56	67	68	72	71	69
Social	49	40	45	42	49	30	32	44	55	52	51	61	58	63
Governance & economic	49	50	47	49	52	36	44	49	51	46	46	46	43	46

Source: S&P Capital IQ (2026), ESG scores history 2013-2026.

LSEG scores (FY2024) and emissions

LSEG and emissions data	Value
ESG combined score (grade)	84.62 (A)
Environmental pillar	87.62
Social pillar	87.35
Governance pillar (grade)	76.59 (A-)
Rank in food and tobacco	12 of 416
Emissions, Scope 1 (kt CO2e): 2019 restated / 2025 prelim.	1,224 / 1,241
Emissions, Scope 3 (kt CO2e): 2019 restated / 2025 prelim.	11,424 / 11,764

Source: LSEG (2026); Grupo Bimbo (2026e, p. 169).

Governance scorecard: 31 of 64 points (48%)

Governance scorecard (team rubric)	Score	Main evidence
A Controlling shareholder	5/10	Six vehicles hold 72.03%; one share, one vote; unexplained 8.5-point gap against a 2022 investor deck (81%)
B Board independence	10/20	7 of 18 independent (38.9%); executive family chair with casting vote; 7 Servitje directors
C Committees	6/8	Audit committee 5 of 5 independent; nomination and remuneration committee 2 of 4 independent, chaired by a family member
D Related parties	5/8	MXN 9,823 million (2.3% of sales); conflict policy excludes directors and shareholders
E Takeover defences	1/10	Board approval for transfers at 3%; tender trigger at 30%; 10% to call a meeting (36% of free float); no say on pay
F Pay, ethics, audit	4/8	No individual pay disclosure; UNGC violation flags FY2022 and FY2024; auditor EY (Mancera), clean opinion

Source: Grupo Bimbo (2026a, 2026f, 2026g); LSEG (2026); team estimate (scores). The rubric is ours, not a standard.

Appendix

A10. Board of Directors

LSEG lists 18 directors, 11 non-independent and 7 independent (LSEG, 2026; Grupo Bimbo, 2026a, pp. 169-171).

Director	Age	Independent	Since	Role and committees
Daniel Javier Servitje Montull	66	No	2013 (chair)	Executive Chairman since May 2024; Finance
Raul Ignacio Obregon Servitje	53	No	2024	Deputy CEO; Finance
Luis Jorba Servitje	67	No	2013	Nominating and Remuneration chair; Finance
Guillermo Lerdo de Tejada Servitje	41	No	2023	Wealth-advisory firm partner
Jordi Mariscal Servitje	54	No	2024	Film producer
Maria del Pilar Mariscal Servitje	56	No	2022	Finance; Leon XIII Foundation
Roberto Mauricio Servitje Labarrere	42	No	2025	Finance; Grupo Altex
Mireya Jorba Aliacar	45	No	2024	Former Grupo Bimbo treasury
Lorenzo Sendra Creixell	52	No	2023	17+ years at Grupo Bimbo
Jose Roberto Quiroz Mata	37	No	2024	Property management
Javier de Pedro Espinola	62	No	n/g	Nominating, Remuneration, Finance
Edmundo Miguel Vallejo Venegas	**68**	**Yes**	**n/g**	**Audit chair since 2015; Governance chair**
Jaime Antonio El Koury	**72**	**Yes**	**2016**	**Audit; Governance**
Maria Luisa Jorda Castro	**62**	**Yes**	**n/g**	**Audit, Nominating, Remuneration**
Juana Francisca de Chantal Llano Cadavid	**46**	**Yes**	**2023**	**Audit; Suramericana president**
Maria Eugenia Casar Perez	**66**	**Yes**	**2024**	**Audit; former UN CFO**
Rogelio Miguel Rebolledo Rojas	**81**	**Yes**	**n/g**	**Finance chair since 2022; ex-PepsiCo**
Leon Lawrence Kraig Eskenazi	**n/a**	**Yes**	**2026**	**Former Mars executive; IGNIA**

Source: LSEG (2026), officers and directors; Grupo Bimbo (2026a). n/g = not given. Independent directors are shown in bold blue.

A11. References

Bakery & Snacks (2026) 'Private label widens lead over national brands in 2026 grocery unit sales', *Bakery & Snacks*, 9 July.

Damodaran, A. (2026) *Country default spreads and risk premiums* (July 2026 update); *Betas by sector, global* (5 January 2026); *Implied equity risk premium* (1 October 2026). New York University Stern School of Business.

Flowers Foods, Inc. (2026) *Annual report on Form 10-K for fiscal 2025* and *second quarter 2026 results and fact sheet*. Thomasville, GA.

Grupo Bimbo, S.A.B. de C.V. (2025) *Quarterly earnings releases, 1Q22 to 3Q25*. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026a) *Reporte anual 2025* [Annual report 2025 to the Bolsa Mexicana de Valores], dated 30 April 2026. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026b) *Grupo Bimbo reporta resultados del 4T25* [4Q25 results release], 25 February. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026c) *Grupo Bimbo reporta resultados del 1T26* [1Q26 results release], 29 April. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026d) *Grupo Bimbo reporta resultados del 2T26* [2Q26 results release], 23 July. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026e) *Informe anual integrado 2025 'Celebramos'* [Integrated report 2025]. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026f) *Estados financieros consolidados auditados 2025* [Audited consolidated financial statements 2025]. Mexico City.

Grupo Bimbo, S.A.B. de C.V. (2026g) *Estatutos sociales* [Corporate by-laws], deed 119069, 6 May. Mexico City.

IMF (2026) *World economic outlook, October 2026*. Washington, DC: International Monetary Fund.

IndexBox (2026) 'USDA grain futures and canola bids report for October 7, 2026'. IndexBox.

Investing.com (2026) 'Flowers Foods Q2 2026 slides: volume drops 5.8% amid category pressure' and Q2 2026 earnings call transcript, August.

LSEG (2026) *ESG scores, controversies, officers and directors, and ownership data for Grupo Bimbo*. London Stock Exchange Group. Accessed October 2026.

S&P Capital IQ (2026) *ESG scores history, consensus estimates, ownership, rates and peer data*. S&P Global Market Intelligence. Accessed 16-19 October 2026.

Team model (2026) Consolidated DCF, three-statement model, WACC and peer workbooks for Grupo Bimbo [unpublished team workbooks].

Trading Economics (2026) *Wheat*, 8 October. Available at: tradingeconomics.com/commodity/wheat.

A12. Use of AI Tools

Tools. We used Claude (Anthropic) through Claude Code with a research-challenge plugin and a compiled knowledge wiki of the company filings. For independent review of the valuation documents we used Codex (OpenAI), and for translation of a few working notes smaller Claude models. NotebookLM (Google) produced an audio summary of our model notes for internal study.

What we used them for. (1) Reading and extracting data: the assistant read 47 filings, presentations and Capital IQ exports into a wiki with source and page citations, and extracted and mapped the FY2021-FY2025 statements. (2) Building the financial model and the DCF, WACC and peer workbooks, with a Python replica to check every result. (3) Industry, risk and ESG research notes. (4) Charts and tables for this report, and drafting and editing the text from the team's analysis. (5) Coaching questions that tested the thesis.

How we verified the output. The DCF workbook passes its integrity checks, and a Python replica reproduces every workbook value to half a centavo. Each wiki number carries a data tag and a page reference to a filing or public source, and every number in this report is read from the model or the wiki. A second model, Codex, reviewed the valuation and research documents, and we fixed what it flagged. [Team to confirm: which member checked the citations against the filings.]

What the team decided. [Team to complete at submission: the decisions the team took on the thesis, the recommendation, the target price, the exit multiple, the key forecast assumptions, the cost-of-capital framework and the material risks and ESG issues.] The team validated the three theses on 19 October 2026 (the assistant proposed their wording and sizing); the target price and rating are not yet set.

Reflection. [Team to complete at submission: one or two sentences on where AI helped most, where the team did not rely on it, and one limitation noticed. Draft observation from the assistant: it helped most with reading hundreds of pages of filings quickly and keeping every number tied to a source, and it writes fluent text around thin evidence, so every claim needed a source check.]